

Hugel Inc 145020

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by

Perezvon

			2026	2027
Price:	243,000.00	EPS	0	0
Shares Out. (in M):	11	P/E	16	0
Market Cap (in \$M):	1,610	P/FCF	15	0
Net Debt (in \$M):	-340	EBIT	0	0
TEV (in \$M):	1,370	TEV/EBIT	0	0

Description

'Long narcissism, Long body image & cosmetics companies'

- Taken from the topic "Where are few looking?"

Could not have said it better myself. For those who share the same sentiment, I present Hugel Inc - a high quality leader in injectable aesthetics and cosmetics. The stock is down ~35% in the past year, and trading at all time low multiples ~16x p/e and ~8x EV/EBITDA, despite continuing growth in revenues, margins and geographies. Overestimation of competition and retail trading flows among other factors have provided a great opportunity to purchase a company with ~45% domestic market share, >45% operating margins and ongoing expansion in promising markets.

Hugel engages in the production and sale of botulinum toxin products, dermal fillers, and cosmetics. I'm going to refer to botulinum toxin products as botox (one of which is the branded product BOTOX produced by AbbVie). In 2025, the firm generated 55% of its revenue from it's botox product named Letybo, 31% from hyaluronic acid fillers, and the rest from a range of cosmetics such as skincare brand Wellage and absorbable threads. Botox, filler and cosmetics have grown at a 16%, 13% and 34% 5yr revenue CAGR respectively, resulting in an overall 5yr CAGR of 15% and 22% in revenue and operating income. This has been driven by dominance in South Korea and ongoing global expansion. The 2025 geographical split is 35% Korea, 30% rest of Asia, 16% Americas, 14% Europe and 4% others.

The botox market has proven resilient to competition. Although Allergan's original patents expired decades ago, no generic equivalent exists and few manufacturers compete. Each manufacturer uses proprietary production processes and bacterial strains (cell banks), while regulatory approval requires extensive clinical data and manufacturing validation. Building these cell banks and refining the bacterial strain process are closely held trade secrets, and botox formulations continue to evolve. As a result, new products are launched as distinct brands with their own clinical profiles, creating a market characterised by a small number of established competitors with strong brands. The leading global brands include AbbVie's BOTOX, Galderma's Dysport, Merz's Xeomin, Evolus' Jeuveau, Revance's Daxxify and Hugel's Letybo. Formulations differ in how they diffuse across the face, onset time, and longevity, leading to preferences among users and physicians. For some more background on why these formulations are hard to replicate I'd recommend Dave Johnson's thesis on Evolus presented on the Yet Another Value Podcast. Typically botox is injected every few months to maintain results, creating stickiness and recurring revenues, but customers are still able to switch between brands. Market shares differ across geographies, with Letybo being dominant in South Korea and BOTOX being dominant in the US.

Market	No. products	Approved brands
United States (FDA)	6	Botox (AbbVie), Dysport (Ipsen/Galderma), Xeomin (Merz), Jeuveau (Evolus/Daewoong), Daxxify (Revance/Crown), Letybo (Hugel)
European Union	6	Botox (AbbVie), Dysport (Ipsen/Galderma), Xeomin (Merz), Alluzience (Galderma), Bocouture (Merz), Letybo (Hugel)
China (NMPA)	7-8*	Botox (AbbVie), Dysport (Ipsen), Hengli (Lanzhou Institute), Letybo (Hugel), Nabota (Daewoong), Xeomin (Merz), Prosigne (Lanzhou export brand, depending on classification), plus a small number of recent domestic approvals and black market offerings
South Korea (MFDS)	>20	Botulax (Hugel), Meditoxin/Coretox (Medytox), Nabota (Daewoong), Liztox (Huons), Zentox (Jetema), Botulinum (PharmaResearch), Innotox (Medytox), Novacutan toxin products and other domestic entrants

The dermal filler market is less protected, however still moated. Most products are based on hyaluronic acid, which is far more available than botulinum toxin. Barriers to entry are therefore lower than in botox, although the customer base is largely the same, making fillers a strong complementary product and the no. 1 additional treatment requested by botox customers, ~70% of fillers are used with botox. Naturally, this means that dominant players in botox have a significant marketing advantage in fillers.

The injectable aesthetics industry has seen tremendous growth over recent years, and I see these tailwinds continuing into the future. Stigma around botox and fillers is constantly fading and social media has curated a perfect storm for these products to thrive, often with South Korea viewed as the pinnacle of skincare/aesthetics, known as 'K-beauty'. It is likely that more and more of the younger generation will be looking to botox and filler as they grow older.

Enough about the industry, why Hugel?

Its competitive positioning going forward is underappreciated, despite a decade of investor concern over competition and little evidence of disruption to Hugel. Even with the slowing of the Korean market and new entrants, Hugel has grown its gross margin every year from 68% in 2019 to 75% currently and retained its no.1 position. More importantly, it is the only Korean company to have approval in the US, China and Europe. Particularly in the US and Europe, Hugel has a materially lower manufacturing cost relative to domestic manufacturers, and Letybo is offered at a lower price, so it is a slightly more 'value' option, while retaining a strong brand reputation. I would differentiate this from typical price competition, where margins are eroded, as in this case they remain high across players. Letybo has captured its own niche and is positioned well given the primary barrier to consumer adoption is cost. The US expansion is ongoing, doubling from 8% of revenues in 2024 to 16% in 2025, the company has heavily invested to attain approval in these new geographies and continues to do so, pursuing direct sales channels in the US. This has elevated some expenditures in recent years and combined with litigation pursued by Medytox (Hugel decisively won), and fluctuations in deferred taxes, has slightly depressed earnings, yet EPS has still grown at a 31% CAGR in the past 5 years.

There are more non-fundamental reasons for why the share price is where it is. Korean retail flows have been erratic to say the least. This graphs shows YTD indexes for Korean semis +90%, KOSPI +57%, KOSDAQ -19%, and Korean pharma -35% from top to bottom



Money has clearly moved out of Pharma/cosmetics and many other sectors in pursuit of the momentum behind names such as SK Hynix and Samsung. I could inundate you with quotes 'keep your head when all about you are losing theirs', 'be greedy when others are fearful' etc etc, but I think the sentiment is well understood at this point, and well, heads are being lost.

To put it in perspective the undervaluation:

Company	Mcap (\$m)	P/E	EV/EBITDA	5YR Rev CAGR	ROIC	Op Margin
Medy-Tox	305	23x	14x	12%*	5%	12%
Daewoong	932	6.9x	9.5x	8%	15%	6%
Evolus	390	-	-	39%	-34%	-9%

AbbVie	452,000	126x	17.5x	6%	6%	34%
Galderma	50,070	75x	35x	8%*	6%	17%
Imeik	4,910	28.6x	28.4x	34%	14%	56%
Ipsen	15,270	30.5x	7.9x	7%	9%	26%
Hugel Inc	1,610	16x	8.1x	16%	16%	47%

* Base effect of 2020 revenue drop. 6yr CAGR is 3%

**4yr

Hugel boasts the highest quality economics and suffers from the lowest valuation. Of course, there are few perfect comps, many of these companies are more diversified across cosmetics and dermatology than Hugel, but to count Hugel out of these markets going forward would be a mistake given its strong growth and brands in cosmetics. Consensus has EPS growing 30-40% in the following year and I would expect a fair multiple to be 20-25x, taking midpoints yields a target price of ~345,000 KRW, an upside of 42%.

There are a few risks surrounding ownership of the company. Around 44% of the company is owned by Aphrodite Acquisition Holdings, an SPV created by a consortium of investors to acquire the stake from Bain in 2021. This means after treasury shares, around 44% of shares are free float so liquidity is thinner than on face value. There have also been rumors of delisting/relisting, however no action has been taken on this front.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

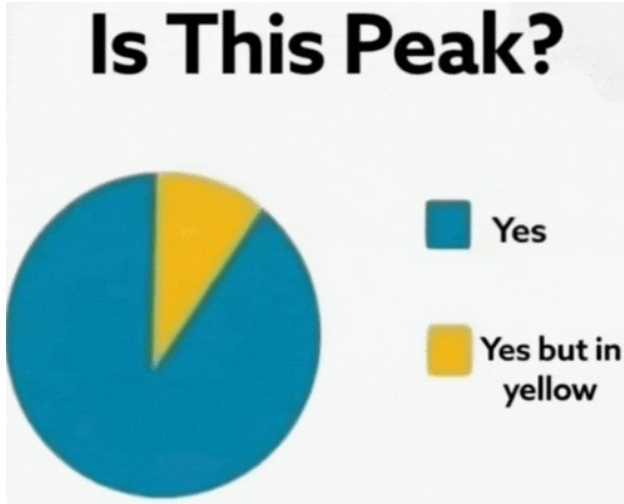
- US commercial execution
- Continued margin/ROIC resiliency

Messages

Subject Is this peak?
Entry 07/28/2026 04:56 AM
Member StockOperator

Honored to have my quote kicking off this pitch, a true VIC bucket list moment. Usually the quotes are by Buffett, Munger, Lenin, Aristotle and Plato.

Non-zero chance I celebrate by getting a cheeky round... of Botox



Subject Re: Is this peak?
Entry 07/28/2026 07:31 AM
Member Perezvon

I'm glad you enjoyed it. I think Plato also said long narcissism in a few more words

Subject thanks for the pitch
Entry 07/28/2026 11:09 AM
Member dannny

thoughts on TAM saturation? seems that botox and cosmetics are the main drivers for 26E - cosmetics IMO are fickle to underwrite given its trend-dependence and botox is physician-administered so p hard to displace to competitors

also to what extent is the GM growth from increasing US and China botox exports? seems that Letybo has been adopted because it works extremely fast, but wears off much quicker, so there's a bit of one-time demand of trying it out before going back to Dysport or Botox. it also has a high failure rate.

am i completely off here? haven't done as much on this name as you

Subject Re: thanks for the pitch
Entry 07/28/2026 02:17 PM
Member Perezvon

Thanks for the questions

I think TAM still has a long way to go for saturation as per capita usage is still low. Comparing levels between countries shows how culture and barriers to adoption are the main factors here as opposed to saturation. E.g. Penetration is far higher in Korea (estimated double on per capita basis) vs in the US. I think this culture will continue to spread outside of Korea, particularly with the younger generation. For example, men are rarely spoken about in this market yet still make up ~14% of procedures. I expect this number to rise, as we can see younger men getting into aesthetics (looksmaxxing craziness), mostly fueled by social media. I would make a shaky comparison to other non-surgery cosmetic procedures such as hair dying. It has gradually become an extremely commonplace process due to long term cultural shifts and adoption as opposed to trends. In this way I think botox is a far more long term bet than trends and would push back on that point. I would reiterate that strength in other segments of the business is mainly through cross selling from botox. I understand I haven't provided many numbers to back me up here - this is mainly as I don't think the quality of data is very high. ISAPS surveys are a commonly used data point in the industry but rely on a survey of plastic surgeons at a time where procedures are moving to Medspas/less formal environments. I assume this is one of the reasons Korea is not included in their report.

As for Letybo vs competitors. I don't believe that it is going to come to the US and displace very long term BOTOX users, but it does have many incentives for new users. Alongside the 'K-beauty' tailwind, the lower cost of Letybo is a great factor going for it. Providers may pass this onto the customer, or they can take advantage of Letybo's strong image and price it inline with BOTOX etc, capturing the extra margin themselves. Either way, the customer or the provider is incentivised to use the product. I think the differences in Letybo characteristics tend to be overstated when compared to clinical studies and the pros/cons are often misstated. There does seem to be a smaller diffusion area with Letybo, and this can be both a good or bad depending on preference. I would recommend these studies which show broadly in-line performance across brands:

<https://pmc.ncbi.nlm.nih.gov/articles/PMC12256374/#Sec8>

<https://pmc.ncbi.nlm.nih.gov/articles/PMC10781123/>

My main takeaway is that differences between brands come with pros and cons, particularly when looking at long term use. E.g. Letybo efficacy may fall off however this occurs after the expected top-up time and may be better for reducing long term resistance, reducing total doses. There are also quite a few factors such as injector skill - Jeuveau had initial issues with injection method when entering the US, however this passed after a learning period. Nonetheless, this is still something to watch going forward.

I am not too sure on the contribution of US/China into the gm, however would say that Letybo was only approved in the US in 2024, while gm has been improving for much longer. Either way I wouldn't see it as an issue as the company will be moving into these markets.